



Exponential Growth Beckons

The PMS industry is gearing up for aggressive growth over the coming decade as Indian families seek to proactively invest their savings

BY RASHIM BAGGA

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WITH MINIMAL MARKETING and without creating a lot of fuss, assets under management (AUM) of the Indian portfolio management services (PMS) industry has grown 16-fold in the past 15 years.

Today, the country's PMS industry manages ₹32 lakh crore of assets and given India's robust economic outlook, it is gearing up for exponential growth over the coming decade as Indian families seek to proactively invest their savings. Increasingly, as successful Indian professionals and entrepreneurs are educating themselves regarding the wealth generation tools available to them, many are reaching the conclusion that PMS is likely to be the mainstay for several years to come.

The PMS industry in India has evolved over the past two decades as India's economy has undergone massive structural changes. Some 10-20 years ago, the industry catered to a niche segment of wealthy investors. But over time PMS has become a democratised tool for wealth management, allowing skilled

practitioners to tailor sophisticated investment solutions for discerning investors. The economic reforms of the past decade—GST, demonetisation, reduction in corporate tax rate, etc.—have provided the necessary impetus to the PMS industry, thereby spurring innovation and diversity in the investment strategies offered by 400+ PMS providers in India.

To be more specific, regulatory reforms formulated by the Securities and Exchange Board of India (Sebi) have played a pivotal role in accelerating growth for the industry. In particular, Sebi's overhaul of

tion of Portfolio Managers in India (APMI), a trade body for portfolio managers registered with the Sebi in December 2021, was a natural next step as the industry came of age. APMI gave a platform to PMS providers to discuss and, as a group, contribute to the industry's growth. In addition, it also enabled the regulator to engage with the industry through a representative body.

There are 10 times more PMS providers in India than there are mutual fund providers. Moreover, the number—the latest count of which is just over 400—is growing at a steady

WITH AN INCREASING INCLINATION TOWARDS PERSONALISED FINANCIAL SOLUTIONS, THE PMS INDUSTRY IS SET TO REDEFINE WEALTH MANAGEMENT

PMS regulations in 2020 gave the industry a “refresher”. These reforms enhanced transparency and accountability of PMS providers by banning upfront commissions, mandating detailed disclosures on costs, and by standardising the way performance is reported to clients by PMS providers. Such measures have fortified investors' trust in the PMS industry thus leading to increased investor participation and investment inflows.

The establishment of the Associa-

pace. This competitive landscape fosters innovation, as firms vie to differentiate themselves through unique investment strategies and client service models. At the same time, this plethora of choices necessitates stringent regulatory oversight to maintain ethical standards and ensure the industry's long-term integrity.

Investment strategies within the PMS realm are diverse and dynamic, reflecting the varied needs of investors. Firms leverage in-depth market